

TABLE 17-1 Ling-Temco-Vought Inc., 1958-1970
(In Millions of Dollars Except Earned Per Share)

	1958	1960	1967	1969	1970
A. Operating Results					
Sales	\$6.9	\$143.0	\$1,833.0	\$3,750.0	\$3,774.0
Net before taxes and interest	0.552	7.287	95.6	124.4	88.0
Interest charges	.1 (est.)	1.5 (est.)	17.7	122.6	128.3
(Times earned)	(5.5 X)	(4.8 X)	(54 X)	(0.02 X)	(0.68 X)
Income taxes	0.225	2.686	35.6	cr. 15.2	4.9
Special items				dr. 40.6	dr. 18.8
Net after special items	0.227	3.051	34.0	dr. 38.3	dr. 69.6
Balance for common stock	0.202	3.051	30.7	dr. 40.8	dr. 71.3
Earned per share of common	0.17	0.83	5.56	def. 10.59	def. 17.18
B. Financial Position					
Total assets	6.4	94.5	845.0	2,944.0	2,582.0
Debt payable within 1 year	1.5	29.3	165.0	389.3	301.3
Long-term debt	.5	14.6	202.6	1,500.8	1,394.6
Shareholders' equity	2.7	28.5	245.0†	def. 12.0*	def. 69.0*
Ratios					
Current assets/current liabilities	1.27 X	1.45 X	1.80 X	1.52 X	1.45 X
Equity/long-term debt	5.4 X	2.0 X	1.2 X	0.17 X	0.13 X
Market-price range		28-20	169%-109	97%-24%	29%-7%

* Excluding debt-discount as an asset and deducting preferred stock at redemption value.

† As published; cr., credit; dr., debit; def., deficit.

1. The company's expansion period was not without an interruption. In 1961 it showed a small operating deficit, but—adopting a practice that was to be seen later in so many reports for 1970—evidently decided to throw all possible charges and reserves into the one bad year.^{*} These amounted to a round \$13 million, which was more than the combined net profits of the preceding three years. It was now ready to show “record earnings” in 1962, etc.

2. At the end of 1966 the net tangible assets are given as \$7.66 per share of common (adjusted for a 3-for-2 split). Thus the market price in 1967 reached 22 times (!) its reported asset value at the time. At the end of 1968 the balance sheet showed \$286 million available for 3,800,000 shares of common and Class AA stock, or about \$77 per share. But if we deduct the preferred stock at full value and exclude the good-will items and the huge bond-discount “asset,”[†] there would remain \$13 million for the common—a